



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

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2 December 2004

**Circular to Licensed Corporations which are licensed
for Type 6 regulated activity**

Theme Inspection of Sponsors

1. The SFC plans to conduct a theme inspection on sponsors licensed by the SFC after the first quarter of 2005.
2. Sponsors are a type of corporate finance advisers subject to the SFC Corporate Finance Adviser Code of Conduct (SFC Code). The SFC code imposes upon a corporate finance adviser, among other things, a duty to exercise due care and skill and to keep books and records in relation to the advisory work it has undertaken. More specifically, corporate finance advisers that engage in corporate finance advisory work under the Listing Rules are required by the SFC Code to observe the specific requirements under the Listing Rules.
3. In a joint press release of the SFC and SEHK on 19 October 2004, SEHK announced amendments to the Listing Rules relating to the regulation of sponsors and independent financial advisers. The rule amendments¹ make clear, among other things, the role and responsibilities of sponsors, including the due diligence SEHK expects the sponsors to typically perform on new applicants for listing. Sponsors are urged to put in place effective systems and procedures to ensure compliance with the rule amendments which will come into effect on 1 January 2005.
4. The SFC, as the statutory regulator of sponsors licensed with the SFC, will perform a theme inspection on sponsors to review their compliance with the SFC Code, with particular reference to the due diligence practice note² recently issued by the SEHK.
5. In an IPO process, sponsors play the role of a gate-keeper. They have the overriding duty to conduct proper due diligence. The SFC will take disciplinary actions against the sponsors who fail in their duties. Penalties of an SFC disciplinary action include imposition of fines, suspension and revocation of license.



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6. If you have any queries on the above, please contact Ms. Lorraine Chan of the SFC's Intermediaries Supervision Department at 2842-7751.

Intermediaries & Investment Products
Securities and Futures Commission

- Note 1: The rule amendments are available on HKEx's website at:
http://www.hkex.com.hk/rule/mbrule/mb_ruleupdate.htm (Main Board rules)(English version); and
http://www.hkex.com.hk/rule/gemrule/gemrule_update.htm (GEM rules)(English version).
- 2: The due diligence practice note, Due diligence by sponsors in respect of initial listing applications, is part of the rule amendments announced by SEHK on 19 October 2004. It provides guidance as to SEHK's expectations of the due diligence steps sponsors will typically perform.